## 5.11 Comparison among the Features of Various Markets

| S No | Features | Perfect Competition | Monopoly | Monopolistic Competition |
|---|---|---|---|---|
| *1* | **Number of Producers/Sellers** | Innumerable | Only One | Large |
| *2* | **Nature of the Product** | Homogeneous Perfect Substitute | Unique (No close substitute) | Differentiated Product (close substitutes) |
| *3* | **Control over Price** | Price-Taker | Price-Maker | Some control depending on branded loyalty |
| *4* | **Entry / Exit** | Free | Barriers to entry | Free |
| *5* | **Profit** | Abnormal profit / loss in short-run, Normal profit in long-run | Monopoly Profit | Abnormal profit in short-run, Normal profit in long run |
| *6* | **Market Knowledge** | Complete | Complete | Partial |
| *7* | **AR Curves** | Parallel to X axis Perfectly elastic | Fairly Flat More elastic | Steep (highly inelastic) |
| *8* | **Quantity** | Very large | Less compared to perfect competition | Substantial |
| *9* | **Price** | Uniform and low | High | Moderate and varied |
| *10* | **Market power** | Nil | Absolute | Limited |



Chapter-05.indd 114 1/2/2023 11:46:39 AM